

Bangladesh's External Debt Is a Liquidity Problem, Not a Solvency Problem

Evidence from World Bank data, 2016–2024

Bangladesh's external debt stood at 22.3% of gross national income (GNI) in 2024, which seems like a reasonable position. However, the question remains whether its external debt position is safe. Debt service rose from 4.9% of exports in 2016 to 15.8% in 2024. The IMF and World Bank apply a 15% threshold for debt service to countries with medium debt-carrying capacity, like Bangladesh, and as of 2024, Bangladesh is above it (IMF 2023). Foreign-exchange reserves fell from 6.3 months of imports in 2021 to 3.1 in 2024, just above the three-month level usually treated as a minimum. This suggests that Bangladesh's external debt is a liquidity problem, not a solvency problem. Bangladesh also relies heavily on remittances, which leaves it exposed if they fall.

This analysis uses World Bank World Development Indicators (WDI) from 2000 to 2024, sourced through the World Bank API in Python (World Bank 2026; Salam 2026). The measures focused on were total external debt service as a share of exports, the current-account balance as a share of GDP, personal remittances received in US dollars, and reserves in months of imports. I focused on debt service and reserves because they measure liquidity rather than solvency. A stock ratio such as debt-to-GNI shows whether Bangladesh can carry its debt over time, but not whether it has the dollars to pay what falls due each year. Joint IMF-World Bank Debt Sustainability Framework thresholds were used as benchmarks for debt service: 10% of exports for weak capacity, 15% for medium and 21% for strong (IMF 2023). The joint IMF-World Bank debt sustainability analysis classifies Bangladesh as medium, so 15% is the relevant line (IMF 2026). Finally, a stress test cuts 2024 remittances by 20% and 25%, expresses the loss as a share of GDP and of reserves, and subtracts it from the 2024 current account, holding all other flows constant.

The data show three main takeaways. First, debt service more than tripled, from 4.9% of exports in 2016 to 15.8% in 2024. The rise was not gradual: it jumped from 6.8% in 2018 to 13.1% in 2019 and has stayed above the 10% line every year since. Second, the buffer shrank. Reserves peaked at \$46.2 billion in 2021 and fell to \$21.4 billion in 2024, and short-term debt, which must be repaid or rolled over within a year, grew from 39.2% of reserves to 60.5%. Third, the solvency measure moved far less. External debt rose from \$41.6 billion in 2016 to \$104.5 billion in 2024, yet as a share of GNI it rose only from 15.0% to 22.3%, because the economy grew alongside it.

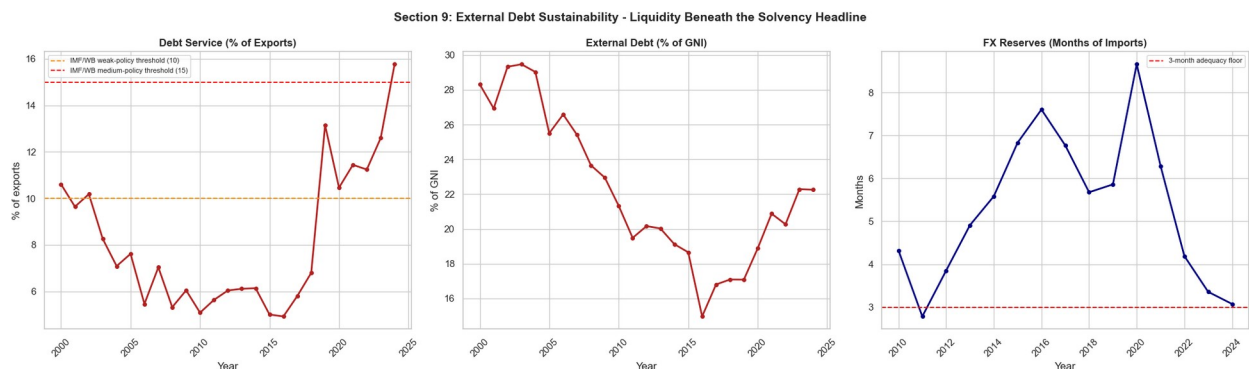


Figure 1. Debt service (% of exports) against the 10% and 15% IMF-World Bank thresholds, external debt (% of GNI), and reserves (months of imports). Source: World Bank WDI; author's calculations.

The stock ratio for Bangladesh still looks manageable, even though external debt rose to \$104.5 billion. A country in this position is not insolvent; however, it is exposed. A temporary fall in inflow could force Bangladesh to make difficult choices: between drawing down reserves, letting the currency fall, or cutting imports. Bangladesh has already made the second choice: the taka weakened from 85.1 to 115.6 per US dollar between 2021 and 2024. Official assessments have moved in this same direction: in 2025, a joint IMF and World Bank analysis raised Bangladesh from low to moderate risk of external debt distress (IMF 2026).

The data cannot explain why debt service jumped in 2019. Potential causes could include debts coming due faster, higher interest cost or slower growth in exports. Testing this requires further breakdown of debt service by creditors and maturity, which this dataset does not provide.

Since Bangladesh's external account depends on remittances, I tested whether a realistic drop in inflows would still prove manageable. Bangladesh reached a record \$27.5 billion in remittances in 2024, 6.1% of GDP, while net foreign direct investment was only 0.28% of GDP, down from 1.74% in 2013. A 20% fall in remittances removes \$5.5 billion, widening the current account deficit from 0.67% to 1.89% of GDP. A 25% fall removes \$6.9 billion and takes the current account deficit to 2.20%.

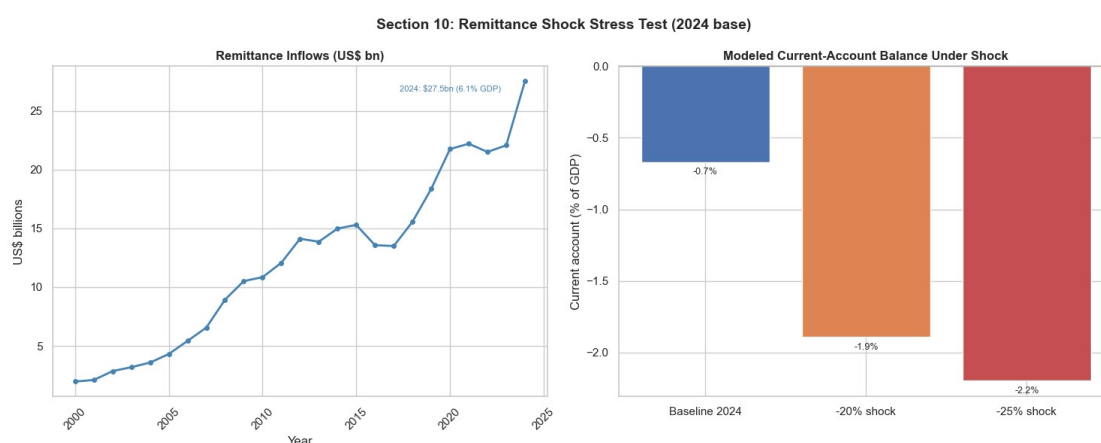


Figure 2. Remittance inflows (US\$ bn) and the modeled 2024 current-account balance under 20% and 25% remittance shocks. Source: World Bank WDI; author's calculations.

These shocks look absorbable when measured against GDP. Measured against reserves, they look dangerous, as they would cost about a quarter of the buffer. A 20% shock results in 25.7% of 2024 reserves being lost, while a 25% shock results in 32.2% of 2024 reserves being lost. A 20% shock is not an unrealistic scenario; remittances jumped 24.7% in 2024, so a 20% fall would only return remittances to their 2023 level of \$22.07 billion. If remittances fell, Bangladesh would have to cover the gap with money from abroad or reserves. With FDI at only 0.28% of GDP, and borrowing becoming increasingly costly, Bangladesh would have to rely on its reserves. The comparison with GDP understates the risk Bangladesh could face, as GDP measures the size of the economy. But import bills cannot be paid with GDP, so the question remains whether Bangladesh has enough reserves to cover any deficits.

While this analysis is a good way to evaluate potential risk, there are limitations. If remittances fall, it would also reduce household imports, so in reality, the hit to the current account would be an overstatement. However, the shock would still put pressure on the taka, raising the cost of the dollar

debt service, so it is hard to tell what the net bias would be. The 15% IMF-World Bank threshold applies only to public and publicly guaranteed debt service, while this data covers total external debt service, making this comparison indicative rather than a replication of the IMF-World Bank test. The public-only ratio would likely be lower than 15.8% in reality. Export data for FY2023 and FY2024 were also revised down, according to the late 2025 IMF-World Bank analysis, so the 2024 debt-service-to-exports ratio may be higher in reality (IMF 2026).

There could be potential ways to help sharpen the conclusion. First, I could break debt service down by creditors and maturity to explain the 2019 jump to gain more clarity. Second, the threshold test on public and publicly guaranteed debt could be rerun, to match the IMF-World Bank method. Third, another round of the stress test could be added, allowing the taka and imports to respond, so I could see how the current account would actually respond. Lastly, a pass-through regression ($\text{inflation} = 6.47 + 0.105 \times \text{depreciation\%, 2001-2024}$) offers a rough link with a very weak association ($R^2 = 0.05$), so it cannot be claimed to be causal. A next step would be to use the depreciation-inflation link as a second round to see how remittance shocks weaken the taka, raising inflation and the cost of dollar debt.

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